HH 159-26
Case No FA3-24

NATIONAL FOODS LIMITED
versus
ZIMBABWE REVENUE AUTHORITY

FISCAL APPEALS COURT

MAFUSIRE J
HARARE, 2 October 2025

Assessor: Mrs R. G. Kangai

Date of judgment: 24 February 2026

Fiscal appeal

Mr M. Tshuma, for the appellant
Mr S. Banda, for the respondent

MAFUSIRE J

a Introduction

[1] The appellant appeals against the decision of the respondent on 27 September 2024. The respondent disallowed the appellant's deductions for input tax for the months of January, June, September, October and November 2023 on the grounds that the invoices and the credit notes on which the deductions were based were not compliant with the provisions of the Value Added Tax Act [*Chapter 23:12*] ["***the Act***"].

[2] The parties agreed that the facts are not in dispute. The matter then proceeded as a stated case. The parties filed a joint statement of agreed facts.

b Background

[3] The appellant is a registered operator in the food industry and a registered taxpayer. The respondent is an administrative authority and the central collector of revenue for Government.

[4] Deductions allowable to a taxpayer are calculated as tax output, minus tax input, to equal the tax refund. The taxpayer submits invoices and the credit notes with its tax returns. Following its own assessment, the respondent can allow or reject the deductions.

[5] According to the statement of agreed facts, the respondent disallowed the tax invoices submitted by the appellant on the following grounds:

i/ that the invoices did not comply with s 20(4) of the Act in that some of them had no adequate features;

ii/ that the amended invoices relied upon by the appellant had not been submitted within 30 days;

iii/ that there were missing, duplicate or unclear invoices;

iv/ that the credit notes did not state the reasons for their being generated;

[6] By reason of the appellant's alleged infractions, on 24 May 2024 the respondent re-assessed the value added tax [vat] due by it in the sums of US$1 049 460 and ZiG291 464. It proceeded to levy a penalty of 40%.

c Grounds of appeal

[7] Pursuant to s 32 of the Act, the appellant lodged its objection on the basis that:

i/ the respondent was being unjustifiably restrictive on the appellant's right to deduct input tax by disallowing invoices merely because they lacked some features when these could be sourced from the other documents already submitted to the respondent;

ii/ the respondent failed to give a purposive interpretation to the wording of s 20(4) of the Act and thus failed to find that the formal mishaps [i.e. minor errors] on the

invoices did not justify the disallowance of the input tax in the absence of fraud or other illicit dealings on the part of the appellant;

iii/ the respondent was being unjustifiably restrictive on the appellant's right to deduct input tax by disallowing credit notes on the basis that they did not state the reasons for their being generated when such information was available to the respondent, and also when the respondent had suffered no prejudice;

iv/ the respondent was being unjustifiably restrictive on the appellant's right to input tax by disallowing missing and unclear invoices when the appellant had sought to submit the missing invoices and clear copies of the faded invoices; and

v/ there was no basis for the 40% penalty.

d Appellant's case

[8] Distilled, the appellant's case is this:

i/ The respondent rejected its claim for tax refunds on purely technical grounds, yet these could be fixed by evidence.

ii/ The respondent is hunting for infinitesimal errors just to deny the appellant its tax input deductions. Despite the provisions of the Act allowing for submission of tax returns after 12 months, the respondent has wrongly rejected its returns and imposed a 30-day period which is manifestly incorrect.

iii/ The respondent wrongly disallowed the appellant's credit notes on the basis that they did not state the reasons for generating them when such information had been furnished together with the appellant's returns.

iv/ The respondent failed to exercise its discretion to find that there was sufficient documentary evidence to justify the appellant claiming input tax deductions.

v The respondent should have adopted a purposive interpretation of statutes to fulfil the purpose of the Act as intended by the Legislature, unless it could be proved that the applicant was being fraudulent or was engaging in other illicit practices. The appellant had substantially complied with the law. The invoices contained all the information necessary to examine the transaction, the tax rate applied, the transacting parties, and so on. The respondent should have found that the appellant had substantially complied with the Act.

vi/ The penalty of 40% is excessive and unjustified, considering that there was no prejudice suffered by the respondent or the fiscus.

e Respondent's case

[9] Also distilled, the respondent's case is this:

i/ It disallowed the deductions because the appellant did not comply with the statutory requirements for input tax deductions. The invoices did not satisfy the requirements of the Act. They did not have the vat number. Some were faded, rendering them illegible. It was not possible to obtain any information from them.

ii/ Tax legislation must strictly be complied with. There is no room for partial compliance.

iii/ Regarding the period of claim between 30 days and 12 months, the correct position is that invoices have to be obtained from the supplier within 30 days of the supply even though the taxpayer has 12 months within which to claim a deduction. *In casu*, the appellant received the replacement invoices after the 30-day time frame.

f Issues for determination

[10] Paraphrased, the issues for trial were settled as follows:

i/ whether the respondent wrongly restricted the appellant's right to claim the input tax deduction to 30 days as opposed to 12 months as allowed by the Act;

ii/ whether the appellant could legally claim input tax deduction based on amended invoices even though not submitted within 30 days;

iii/ whether the respondent erred in disallowing the appellant's tax invoices and credit notes;

iv/ whether the respondent erred in disallowing input tax claims on missing or unclear invoices; and

v/ whether in the circumstances of the case, the penalty of 40% was appropriate.

g Synthesis

i/ *Whether the respondent wrongly restricted the appellant's right to claim the input tax deduction to 30 days as opposed to 12 months allowed by the Act.*

[11] The appellant argues that in disallowing its invoices, the respondent violated section 15(2) of the Act which allows tax deductions on invoices produced within 12 months of their issue. Its case is that the 30 days are restricted to the appellant and its supplier to amend an invoice, but by this, no right or obligation is thrust on the respondent.

[12] Section 15(2)(*a*) of the Act, which for this argument is the relevant provision, reads:

> "**15 Calculation of tax payable**
>
> (1) … …
>
> (2) No deduction of input tax shall be made in terms of this Act in respect of a supply …. …., unless—
>
> (*a*) a tax invoice or debit note or credit note in relation to that supply has been provided in accordance with sections *twenty* or *twenty-one* within the period the registered operator is required to furnish a return in terms of sections *twenty-seven* and *twenty-eight* or twelve months, whichever is the longer period and is held by the registered operator making that deduction at the time that any return in respect of that supply is furnished:"

[13] Broken down, or put differently, the above provision means that tax deductions *are not* allowed unless certain conditions are met. The tenor of this provision, against the background of the whole Act, is that when a taxpayer completes and submits its tax returns, it *shall not* make deductions for input tax, unless the basis for such deductions complies with the provisions of the Act. That is the starting point.

[14] The one condition required by the Act for input tax deductions to be allowable is that the operator must provide a tax invoice or a debit or a credit note relating to the supply. These documents must have been prepared in accordance with s 20 or s 21 of the Act. They must be provided or furnished to the respondent within the same period of time as the operator has to submit tax returns in accordance with s 27 and s 28 of the Act, or within 12 months, whichever period is the longer.

[15] The other condition stipulated in s 15(2)(*a*) above to qualify an operator to make deductions of input tax is that at the time that it furnishes the tax return in relation to the supply in question, it must be holding, thus, having in its possession, the invoice or the debit or credit note relating to the supply. In other words, and by way of an example, it cannot be a case of the operator submitting the tax return and claiming a deduction when at the time of submitting the return and claiming the deduction, it does not have in its possession the invoice or the debit or credit note.

[16] Section 15(2)(*a*) links itself to s 20, s 21, s 27 and s 28 of the Act. I shall refer to these shortly. But for the moment, just looking at s 15(2)(*a*) alone, and interpreting it before looking at these other linkages, it means the preparation of invoices and debit or credit notes is made in terms of s 20 and s 21 of the Act.

[17] It also means that s 27 and s 28 also stipulate some timeframes within which tax returns must be furnished. So, s 15(2)(*a*), on the one hand, and s 27 or s 28, on the other, both set out time frames for the furnishing of these documents. In s 15(2)(*a*) the period is 12 months. The time frames in s 27 or s 28 must necessarily be different. But according to s 15(2)(*a*), whatever that difference may be, the operator is entitled to the longer period.

This is the period within which the operator must submit to the respondent the tax returns, the invoices and the debit or credit notes, not the period for the operator to obtain the invoices, the debit or credit notes from its supplier.

[18] Skipping s 20 and s 21 of the Act for the moment, it is noted that s 27 sets out the tax periods for the various categories of taxpayers. These periods are one and two months. Section 28 of the Act governs the furnishing of tax returns to the respondent by registered operators in accordance with their tax periods. So, obviously a taxpayer, like the appellant, would be entitled to rely on the longer period of 12 months stipulated in s 15(2)(*a*) above to submit its tax returns, tax invoices and debit or credit notes, than the one or two months of s 27 and s 28 of the Act .

[19] Coming back to s 20 and s 21 of the Act, it is s 20(1) which is relevant in relation to the question of time frames. It reads (underlining being for emphasis):

> "**20 Tax invoices**
>
> (1) Except as otherwise provided in this section, a supplier, being a registered operator, making a taxable supply, other than a supply contemplated in subsection (9) of section *seven*, to a recipient shall provide that recipient <u>within thirty days from the date of supply</u> with a tax invoice containing such particulars as are specified in this section:
>
> Provided that—
>
> (a) <u>it shall not be lawful to issue more than one tax invoice for each taxable supply</u>;
>
> (*b*) <u>if a registered operator claims to have lost the original tax invoice, the supplier or the recipient, as the case may be, may provide a copy clearly marked 'copy'</u>".

[20] Simplified, the above provision is saying a registered operator, like the applicant, being the recipient of a taxable supply, must be provided with the tax invoice by the supplier within 30 days of the date of the supply. The 30 days are not the period when the appellant is required to forward these invoices or debit notes or credit notes to the respondent together with its returns. They are for the appellant to receive or procure the tax invoices from its suppliers.

[21] Furthermore, and in terms of the two provisos above, only one invoice is permissible for a single supply. A replacement invoice, where the original one has been lost, has to be marked "copy". Thus, where an invoice has already been issued but cannot be found, the taxpayer does not get its supply simply to issue it with another one and stop there. If that happens without more, there will exist more than one invoice per the same supply. This is not permissible. If the taxpayer gets a replacement invoice, then it must be inscribed "copy".

[22] The respondent will be acting within the bounds of the law if it rejects, as it did in this case, any invoices, originals, amended or otherwise, obtained by the appellant from its suppliers outside the 30-day period, albeit submitted to the respondent together with claims for input tax, within 12 months of the date of supply. I surmise that part of the reason for this restriction, coupled with the elaborate requirements for a tax invoice is s 20(4), may be to lend credibility to the whole process of procuring invoices and debit or credit notes.

ii/ *Whether the appellant could legally claim input tax deduction based on amended invoices even though not submitted within 30 days*

[23] The respondent disallowed the appellant's input tax deduction on the updated copies on the basis that any amended invoices had to have been supplied within 30 days of the date of supply. The appellant argues that this condition regulates conduct between supplier and the receiver of the supply and has nothing to do with the respondent. The respondent's position is that the appellant, realising that its invoices were invalid, instead of approaching the respondent, approached its suppliers for the issuing of replacement invoices outside the 30-day period, conduct which is contrary to the provisions of the Act.

[24] In *Tapedza & Ors v ZERA & Anor* 2020 (1) ZLR 446 (S), after restating the golden rule of statutory interpretation, namely that where the language used in a statute is plain and unambiguous, it should be given its ordinary meaning unless doing so would lead to

some absurdity or inconsistency with the intention of the legislature, the Supreme Court, *per* HLATSHWAYO JA (as he then was), stated, at p 448G:

> "A provision of a statute should be given a meaning which is consistent with the context in which it is found."

[25] The Act provides that a taxpayer can claim its input tax deductions within 12 months. The taxpayer has 30 days to obtain invoices from the supplier. Invoices supplied outside the 30-day period are invalid.

[26] It is noted that in terms of proviso (*b*) to s 20(1), the respondent can accept copy tax invoices where the originals have been lost. But there is no suggestion that such copy invoices can now be procured from the supplier outside the 30-day time frame. In the absence of such latitude from the Act, it is my considered view that even copy invoices have to be procured within the same 30-day time frame.

[27] I have not quite understood the appellant's argument that the provision relating to time frames has nothing to do with the respondent. The structure of the Act in this regard is such that it inexorably links together all these three relevant players, namely, the supplier of the supply who provides the original invoice, the recipient of the supply who receives the original invoice or obtains or prepares a replacement invoice, and the respondent who eventually ends up with all these documents.

[28] My view above is fortified by a closer consideration of the further provisions of the Act governing invoices. Sub-section (2) of s 20 Act reads (underlining being for emphasis):

> "(2) Where a recipient, being a registered operator, creates a document containing the particulars specified in this section and purporting to be a tax invoice in respect of a taxable supply of goods or services made to the recipient by a supplier, being a registered operator, that document shall be deemed to be a tax invoice provided by the supplier under subsection (1) of this section where—
>
> (*a*) the Commissioner has granted prior approval for the issue of such documents by a recipient or recipients of a specified class in relation to the taxable supplies or taxable supplies of a specified category to which the documents relate; and

> (*b*) the supplier and the recipient agree that the supplier shall not issue a tax invoice in respect of any taxable supply to which this subsection applies; and
>
> (c) such document is provided to the supplier and a copy thereof is retained by the recipient:
>
> Provided that where a tax invoice is issued in accordance with this subsection, any tax invoice issued by the supplier in respect of that taxable supply shall be deemed not to be a tax invoice for the purposes of this Act."

[29] By the way, s 20(1) of the Act, which I have previously considered, starts with the *nisi aliter provisum*, "***Except as otherwise provided in this section …***", meaning that it makes itself subservient to the other provisions of s 20. So, ss (2) empowers a taxpayer to compile its own document in lieu of a tax invoice provided that the particulars of a tax invoice as stipulated are captured, and the respondent has granted prior approval. Once done, no other tax invoice, or any other document purporting to be one, shall be permissible. But in none of all this is it provided or suggested or implied that these documents can be provided outside the 30-day time limit set out in s 20(1) of the Act.

[30] In the premises, I hold that the appellant could not legitimately claim input tax deductions based on amended invoices not supplied within 30 days of the supply.

iii/ *Whether the respondent erred in disallowing the appellant's tax invoices and credit notes*

[31] The appellant argues that in the absence of fraud or other illicit dealings by it, the respondent had no justification for disallowing its invoices and credit notes. It says the respondent ought to have adopted a purposive interpretation of the Act instead of the literal meaning of the words. It argues further that the respondent should have considered that there was substantial compliance with the statute.

[32] Unfortunately for the appellant, there is no intendment about tax. As LORD CAIRNS put it in *Partington v The Attorney-General* 21 LT 370, at 375 [English & Irish Appeals, Vol IV, p 100, at p 122], cited by DE VILLIERS JA in *Commissioner for Inland Revenue v George Forest Timber Co Ltd* 1924 AD 516, at pp 531 – 532:

> "… as I understand the principle of all fiscal legislation, it is this: If the person sought to be taxed comes within the letter of the law he must be taxed, however great the hardship may appear to the judicial mind to be. On the other hand, if the Crown, seeking to recover the tax, cannot bring the subject within the letter of the law, the subject is free, however apparently within the law the case might otherwise appear to be. In other words, if there be admissible, in any statute, what is called an equitable construction, certainly such construction is not admissible, in any statute, what is called an equitable in a taxing statute, where you can simply adhere to the words of the statute."

[33] The appellant's argument under this head has no chance of success. The particulars required of a tax invoice are set out in s 20(4) of the Act. It reads (underlining being for emphasis):

> "(4) Except as the Commissioner may otherwise allow, and subject to this section, a tax invoice shall contain the following particulars–
>
> (a) the words "fiscal tax invoice" in a prominent place (or other word or phrase employed by the fiscalised recording regulations for the purpose of denoting an invoice of tax for the making of taxable supplies) in a prominent place;
>
> (b) the name, address and registration number of the supplier;
>
> (c) name and address of the recipient and, if the recipient is a registered operator, the registration number of the recipient;
>
> (d) an individual serialised number and the date upon which the tax invoice is issued;
>
> (e) a description of the goods or services supplied;
>
> (f) the quantity or volume of the goods or services supplied;
>
> (g) … … …"

[34] Debit and credit notes are governed by s 21 of the Act. This provision is rather lengthy and elaborate. But its import, very briefly, is that a recipient of a supply may be issued with credit notes where a supply has been cancelled; where the nature of the supply has fundamentally been altered; where the supplier has altered the previously agreed consideration for the supply by agreement with the recipient by offering a discount or otherwise; or where the goods or services previously supplied, or part of them, have been returned. Credit notes are the means by which a supplier adjusts the amount of output tax previously charged.

[35] Credit or debit notes must contain the words "credit notes" or "debit notes", as the case may be. They must also contain the name, address and registration numbers of the registered operator and of the recipient; the date on which they were issued; the amount by which the consideration and the tax have been reduced or increased; a brief explanation of the circumstances giving rise to the issuing of the credit or debit note, and information sufficient to identify the transaction to which the credit or debit note refers.

In *National Joint Municipal Pension Fund v Endumeni Municipality* [2012] ZASCA 13, the Supreme Court of Appeal of South Africa, at para 18, stated *per* WALLIS JA:

> "Judges must be alert to, and guard against, the temptation to substitute what they regard as reasonable, sensible or businesslike for the words actually used. To do so in regard to a statute or statutory instrument is to cross the divide between interpretation and legislation. In a contractual context it is to make a contract for the parties other than the one they in fact made."

[36] In the face of direct provisions of a statute which admit of no ambiguity, the respondent cannot choose when to rationalise circumstances and when not to. There has to be a uniform application of the law. The appellant's argument is untenable.

[37] The appellant argues passionately that the missing information on the invoices and the credit notes could readily be found on some other extrinsic documents submitted to the respondent. It implores the respondent to refer to them. These documents have not been specified. However, this argument is ill-conceived. It is common cause that the appellant's invoices lacked certain requisite features, like the vat number. Its credit notes lacked the requisite information *ex facie*, like the reasons why they had been generated and the transactions to which they related.

[38] The appellant argument cannot succeed. It did not comply with the law. This court cannot come to its aid. The respondent deals with millions of taxpayers. It is impractical to expect it to sift through a myriad of documents as may have been submitted by a taxpayer for information when the Legislature has decreed that such information must just appear

ex facie the relevant document. The respondent was entitled to dismiss the appellant's objections.

iv/ *Whether the respondent erred in disallowing input tax claims on missing or unclear invoices*

[39] This issue is a repetition. It has already been answered against the appellant. Under this head, the appellant contends that upon the respondent's disallowance on the basis of missing and unclear invoices, it tried to rectify this by submitting copies of the faded invoices but however, that the respondent still rejected them on the basis that the copies had been supplied outside the 30 days.

[40] The appellant further contends that it is the respondent's audit that was carried out outside the prescribed period for the submission of amended invoices. On the other hand, the respondent argues that the appellant was given ample time to submit clear and eligible invoices from 12 January 2024 to 22 May 2024. Further, the obligation to keep invoices safe lay on the appellant. It says that the appellant had the remedy of approaching the Commissioner in terms of section 76 of the Act for directions. It did not use that opportunity. Instead it tried to rectify the problem by submitting amended invoices but which were still non-compliant.

[41] The appellant argument cannot succeed. It did not comply with the law. Invoices or credit notes – originals, amended, or otherwise – must be submitted by the supplier within 30 days of the date of the supply.

v/ *Whether in the circumstances of the case, the penalty of 40% was appropriate*

[42] The appellant argues that the 40% penalty levied on it is outrageous, especially considering that the respondent suffered no prejudice. *Per contra*, the respondent argues that the penalty is justified for many reasons. Firstly, the appellant is a repeat offender. In April 2024 it was mulcted with a 20% penalty for a similar infraction. Further, the claim of input tax without invoices results in a failure to pay tax when it is due. The appellant has showed elements of a fraudulent intent when it issued two credit notes for the same supply.

[43] In *VFSL (Pvt) Ltd & Ors v ZimRA* HH23-19 KUDYA J said, at page 47,

> "The appellants did not supply any financial figures to back up the extent and nature of any hardship occasioned by the imposition of a penalty in the magnitude suggested by the respondent. Neither did they justify a total waiver of the penalty nor the alternative imposition of the measly penalty of 1%."

[44] Furthermore, in *PL Mines (Pvt) Ltd v ZimRA* 2015 (1) ZLR 708 (H) KUDYA J explained the purpose of a penalty as follows, at p 734E:

> "The broad interest of societal confidence in the justice delivery system requires that laws are obeyed and offenders appropriately prosecuted, denounced and penalised. The general objectives of penalties are retribution, deterrence, prevention and rehabilitation."

[45] However, the reality in the present case is that the respondent rejected the appellant's invoices and credit notes more on technical grounds than on content or wrongful intent. It is possible that had the appellant strictly complied with the law and had submitted timeously all its supporting documents, probably it would have been entitled to the deduction.

[46] The imposition of penalties on outstanding tax is governed by s 39 of the Act. Generally, where tax due has not been paid, or where a refund on tax has been made in circumstances in which it was not supposed to have been made, in addition to the unpaid tax or the quantum of the refund, the respondent "*shall*" impose a penalty equal to the outstanding tax or refund.

[47] In the present case however, there is no information by either side on how the penalty was calculated. It is not apparent from the statement of agreed facts or the heads of argument what amount exactly the 40% penalty is hinged on. What I gather is that the appellant failed in its bid to claim a deduction for input tax. It did not benefit. In fact it may well have lost. On these facts, it is difficult to understand how the respondent or the fiscus was prejudiced. I consider that the penalty has not been justified in whole or in part.

h Disposition

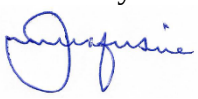
[48] The appellant did not comply with the law in regards to its claim for input tax deduction. Its tax invoices and credit notes were not compliant. On the other hand, the respondent has not justified its imposition of a 40% penalty. Given that both parties have wreaked success, albeit in different degrees, it is fair that each be liable for their own costs. In the result, the following orders are hereby made:

i/ The appeal is hereby dismissed in relation to the respondent's value added tax assessments of 24 May 2024.

ii/ The penalty of 40% imposed by the respondent in relation to the assessment aforesaid is hereby set aside.

iii/ Each party shall bear their own costs.

24 February 2026



Dube, Manikai & Hwacha, legal practitioners for the appellant
ZimRA's Legal Services Division, legal practitioners for the respondent